For Ratan, the announcement ended the ‘uncertainty around its UK business’ for Tata Steel, which had been ‘stirred up in March last year, when the company said it would look to dispose of the business after a string of heavy losses’. However, this JV foundered on the objections of the European Commission.

The Smelting Dragon

The dust has not yet settled on the debate of whether the Corus acquisition was a folly or a bold business decision that was temporarily crimped by unexpected extraneous factors. The assessment of the Tata veterans, in private, is divided. Those who don’t support Ratan’s decision have reasons less to do with the acquisition itself and more with their other disappointments. Interestingly, among those who maintain that the Corus acquisition was right in the circumstances prevailing then are some Tata veterans did not unreservedly support Ratan in all his other actions.

The steel veterans of the group, without exception, are resolute in their assertion that the acquisition had to be made. If the group had to remain in steel, ‘something had to be done’, says Ishaat Hussain.

Perhaps the right rationale for the acquisition was articulated by N. Chandrasekaran, chairman, Tata Sons, who was not involved in the decision to buy Corus. Addressing the 110th AGM in 2017, he said that the acquisition was a part of the strategy to access new markets, source raw materials, upgrade technology and produce specialized steel products. He added, ‘Following the successful acquisition of NatSteel in Singapore and Millennium Steel in Thailand, Corus Group Plc provided a natural fit for the international portfolio including the identified synergies.’

The ‘reasonableness of the acquisition’ was justified by the performance of Tata Steel UK, according to Chandrasekaran. In the first financial year after the acquisition, the EBITDA of the company had grown to £1,038 million compared to £687 million in the previous year. The global crisis in 2008 had adversely impacted the company’s performance. If it were not for the meltdown, it would have been a ‘wonderful acquisition’, Muthuraman adds. Corus’s Netherlands assets were of ‘gold standard’, they were the best in Europe.

In actuality, Corus wasn’t a bad buy, nor was it the only company affected by the global meltdown. The market cap of ArcelorMittal, which